THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

MSMK7031 Pricing Strategies and Tactics

GENERAL INFORMATION			
Instructor	Dr. Jinzhao Du		
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Pre-requisites Course Code & Title		**Co-requisites Course Code & Title**	
Tutor			
Other important details:			

COURSE DESCRIPTION

Profitable pricing is one of the most critical, but often the least understood managerial decisions. Among all the marketing mix, pricing is the only element that produces revenue. Firms rely on pricing to harvest its effort to create value for consumers, yet managers often make mistakes in their pricing decisions. Oftentimes, pricing is too cost-oriented, unresponsive to market change, and inconsistent with the product position.

This course covers both the economic theories of pricing and the analytical tools for formulating effective pricing strategies. The course also discusses both commonly used pricing tactics and some of the newest pricing practices. The course is highly applied and prepares students for pursuing a career in marketing, consulting, and finance.

COURSE OBJECTIVES

1. To familiarize students with the principles and tools required for effectively setting prices.
2. To develop students' understanding of the mechanism behind different pricing practices.
3. To provide students with the opportunity to design their own pricing tactics, and to apply the pricing knowledge to solve business problems.

PROGRAMME LEARNING OUTCOMES

PLO1: Acquisition and internalization of knowledge of the programme discipline
PLO2: Application and integration of knowledge
PLO3: Inculcating professionalism and leadership
PLO4: Developing Global Outlook
PLO5: Mastering communication skills

COURSE LEARNING OUTCOMES

Course Learning Outcomes	**Aligned Programme Learning Outcomes**
CLO1: Comprehend key theories, models, concepts, and mechanisms on managerial pricing decision.	PLO1
CLO2: Develop the ability of finding information for estimating consumers' response to price change, and for evaluating a firm's current pricing strategy	PLO 1,2
CLO3: Acquire the analytical and empirical skills for developing successful pricing strategy	PLO 1,2

CLO4: Develop skills of understanding dynamic business environment and accordingly designing new effective pricing tactics	PLO 1,2,4
CLO5: Develop teamwork skills through multiple group assignments	PLO 3,5

COURSE TEACHING AND LEARNING ACTIVITIES

Course Teaching and Learning Activities	Expected contact hour	Aligned Course Learning Outcomes
T&L1. Lecture Topics for each session of the course are identified in the syllabus. The instructor will illustrate key concepts and issues. Students are expected to do the assigned readings for the session in advance of the lecture, since activity during the session will build on the text and other reading materials.	30	CLO 1,3,4
T&L2. Class Participation Students are expected to actively participate in class discussion. The involvement of students is a key determinant of the course's success	30	CLO 1,4
T&L3. Case Study The quantity and quality of students' participation in case study are important parts of the learning process. Students are requested to form groups, discuss the case within the group, and submit the written case analysis before coming to class.	15	CLO 1, 2, 3
T&L4. Exercise Exercises will help students to develop their conceptual clarity and their ability to solving pricing problems.	45	CLO 2,3,4,5
Total	120	

COURSE ASSESSMENT METHODS

Assessment Methods	Brief Description (Optional)	Weight	Aligned Course Learning Outcomes
A1. Class Participation (Individual)		15%	CLO 1,2,3,4
A2. Exercise (Group)		10%	CLO 1,2,3,4,5
A3. Case Analysis (Group)		40%	CLO 1,2,3,4
A4. Final Exam (Individual)		35%	CLO 1,2,3,4,5
Total		100%	

STANDARDS FOR ASSESSMENT

Course Grade Descriptors

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A+, A, A-	The candidate meets course requirements with a superior level of performance, as evidenced by consistently demonstrating a thorough grasp of the key concepts, consistently actively contributing to class discussion, providing all or almost all accurate analysis in each homework assignment, well organizing the final presentation, and effectively and professionally delivering the content and

	defending the proposals.
B+, B, B-	The candidate meets course requirements with a high level of performance, as evidenced by frequently demonstrating a substantial grasp of the key concepts, actively contributing to class discussion, providing most accurate analysis in each home work assignment, appropriately organizing the final presentation, and effectively and professionally delivering most of the content and defending most of the proposals
C+, C, C-	The candidate meets course requirements with acceptable performance, as evidenced by occasionally demonstrating a general grasp of the key concepts, contributing to class discussion, providing some accurate analysis in each home work assignment, appropriately organizing the final presentation, and effectively and professionally delivering part of the content and defending some proposals.
D+, D	The candidate meets course requirements with minimally adequate performance, as evidenced by demonstrating a partial grasp of the key concepts, occasionally contributing to class discussion, providing limited accurate analysis in each home work assignment, making an effort in organizing the final presentation, and delivering a minor part the content and defending the a few proposals.
F	The candidate does not meet course requirements, as evidenced by demonstrating a poor grasp of the key concepts, rarely contributing to class discussion, providing flawed and ungrounded analysis in most home work assignments, poorly organizing the final presentation, and failing in delivering most of the content and defending most of the proposals.

Assessment Rubrics for Each Assessment

A1. Class Participation (Individual)

A+, A, A-	B+, B, B-	C+, C, C-	D+, D	F
All or almost all oral/written responses are clear, accurate, thoughtful, and/or with sufficient elaboration as required. Consistently actively contribute to the class discussions and activities.	Most oral/written responses are clear, accurate, thoughtful, and/or with sufficient elaboration as required. Actively contribute to the class discussions and activities.	Some oral/written responses are clear, accurate, thoughtful, and/or with sufficient elaboration as required. Contribute to the class discussions and activities.	Few oral/written responses are clear, accurate, thoughtful, and/or with sufficient elaboration as required. Occasionally contribute to the class discussions and activities.	Very few oral/written responses are clear, accurate, thoughtful, and/or with sufficient elaboration as required. Do not contribute to the class discussions and activities.

A2. Exercise (Group)

A+, A, A-	B+, B, B-	C+, C, C-	D+, D	F
All or almost all of the required questions are clearly and accurately responded. All or almost all of the responses are well organized, clear, fluent, and with sufficient elaboration.	Most of the required questions are clearly and accurately responded. Most of the responses are well organized, clear, fluent, and with sufficient elaboration.	Some of the required questions are clearly and accurately responded. Some of the responses are well organized, clear, fluent, and/or with sufficient elaboration.	Few of the required questions are clearly and accurately responded. Few of the responses are well organized, clear, fluent, and/or with sufficient elaboration.	Very few of the required questions are clearly and accurately responded. Very few of the responses are well organized, clear, fluent, and/or with sufficient elaboration.

A3. Case Analysis (Group)

A+, A, A-	B+, B, B-	C+, C, C-	D+, D	F
The analysis is insightful, critical, thorough, systematic, consistent, with	The analysis is critical, thorough, systematic, and consistent with	The analysis is systematic, with insufficient elaboration, some	The analysis lacked a clear focus, insufficient consistency, largely	The analysis is missing or descriptive with no or little supports of relevant

sufficient supports of relevant and helpful facts/data, and effective application of appropriate concepts /techniques/examples which are nicely integrated to the analysis.	supports of relevant and helpful facts/data and application of appropriate concepts /techniques/exampl es.	inconsistency, supported by relevant facts/data but not directly helpful to the analysis, and application of some appropriate concepts /techniques/examples.	descriptive, with limited support of helpful and relevant facts/data and application of appropriate concepts/techniques/ examples	facts/data and application of appropriate concepts/techniques /examples
A4. Final Exam (Individual)				
A+, A, A-	B+, B, B-	C+, C, C-	D+, D	F
All or almost all of the required questions are clearly and accurately responded. All or almost all of the responses are well organized, clear, fluent, and with sufficient elaboration.	Most of the required questions are clearly and accurately responded. Most of the responses are well organized, clear, fluent, and with sufficient elaboration.	Some of the required questions are clearly and accurately responded. Some of the responses are well organized, clear, fluent, and/or with sufficient elaboration.	Few of the required questions are clearly and accurately responded. Few of the responses are well organized, clear, fluent, and/or with sufficient elaboration.	Very few of the required questions are clearly and accurately responded. Very few of the responses are well organized, clear, fluent, and/or with sufficient elaboration.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

Class 1	Course Introduction
Class 2	Value-based Pricing
Class 3	Customer Response to Pricing I
Class 4	Customer Response to Pricing II
Class 5	Product Line Pricing
Class 6	Price Customization
Class 7	Guest Talk; Auction and Ad Platform
Class 8	Behavioral Pricing
Class 9	Pricing and Competition
Class 10	Pricing of Multi-sided Platforms

REQUIRED/RECOMMENDED READINGS & ONLINE MATERIALS

Required Textbook(s) – NA.

1. Lecture notes and supplementary readings will be uploaded in the course website.

Recommend Textbook(s) or Suggested Reading(s) – :

1. (Optional Textbook) The Strategy and Tactics of Pricing, by T. Nagle, J. Hogan, and J. Zale, 5th Edition, Prentice Hall. (NHZ)
2. (Optional Textbook) Principles of Pricing: An Analytical Approach, by Rakesh V. Vohra and Lakshman Krishnamurthi.(VK)

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

○ The SFTL questionnaire

○ Others: _____ (please specify)

COURSE POLICY

- Students are expected to maintain the highest level of professionalism. The minimum requirements include (but is not restricted to) arriving at class on time, silencing smartphones, turning off laptops (unless otherwise specified), etc.
- Academic dishonesty, including plagiarism, cheating, prohibited collaboration or consultation, is NOT tolerated. Students are expected to be familiar with the booklet on "What is Plagiarism?" (http://www.rss.hku.hk/plagiarism/) and know how to avoid plagiarism.
- Students are expected to submit their own original work. If unsure regarding what is appropriate and what is not, the student should consult the instructor.
- Students are not allowed to share materials related to the cases and assignments outside of this class.

ADDITIONAL COURSE INFORMATION

Students are expected to check the course update on the course website regularly.